From: Danielle Soto

To: Laura Kensington

CC: Michael Hartwell

Date: December 20, 2018

Subject: Drafting Note

Team,

I reviewed the latest revisions to the Shareholder Agreement. The clause allowing additional elective distributions to Mike should be acceptable so long as we treat these amounts as compensation for his development work.

Because the payments would be tied to his efforts and not his ownership percentage, I don't think this raises any issues under the S-corporation one-class-of-stock rule—we're not creating a second class of stock if it's simply compensatory.

Let me know if you'd like me to add language expressly describing it as "performance-based compensation."

Danielle

Corporate Counsel

———

From: Laura Kensington

To: Danielle Soto

Date: December 24, 1998

Subject: Re: Drafting Note

Danielle,

Thanks for the input. Frankly, the whole point of adding this clause is to get extra cash to Mike without changing everyone else's distributions, while keeping the S-corp election intact.

It's basically a clever workaround so we don't have to alter ownership percentages or create a separate class of stock. Other companies have done similar things, so I'm comfortable leaving the clause as written.

Unless someone has strong objections, let's proceed with the current draft. Merry Christmas.

Laura